



Housing Recovery and Reconstruction Platform

Housing Reconstruction – A2F Workshop

10 AUGUST 2018

GODAWARI



Overview

- Status of housing reconstruction
- Cost of reconstruction
- Finance and debt
- Possible solutions



Status of Housing Reconstruction

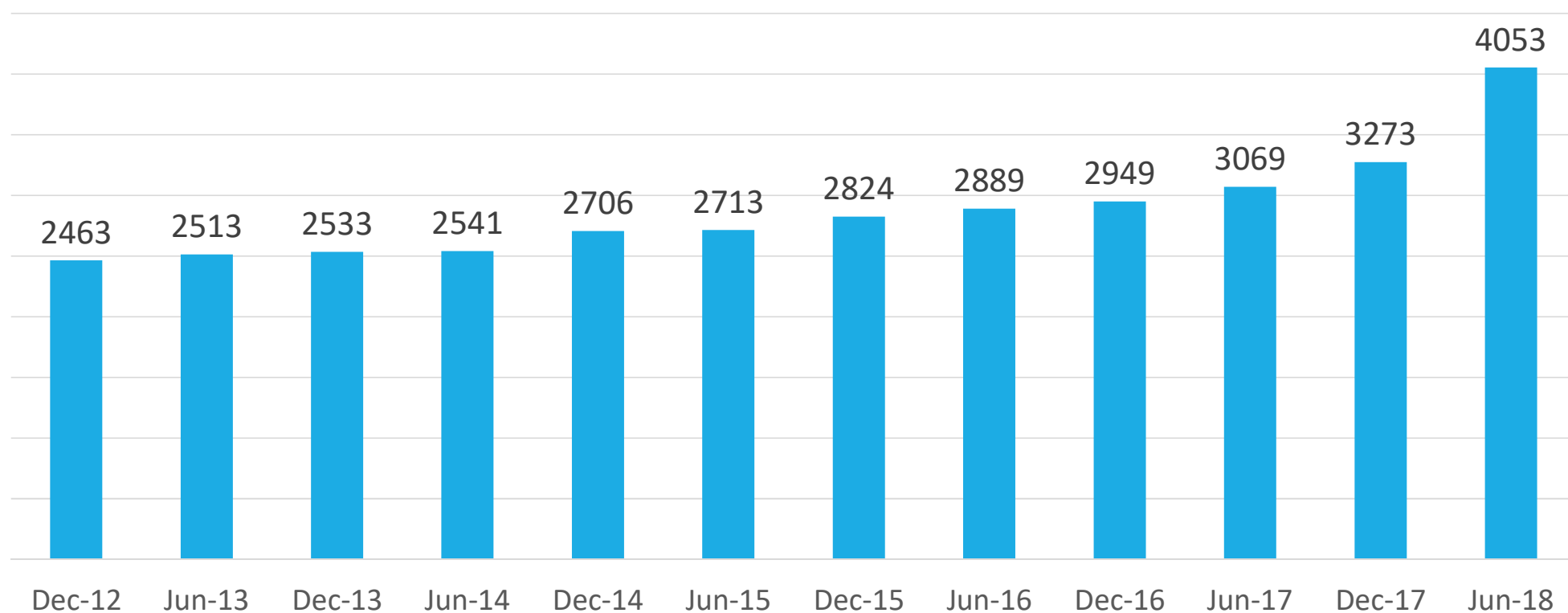
EQ Housing Reconstruction Programme



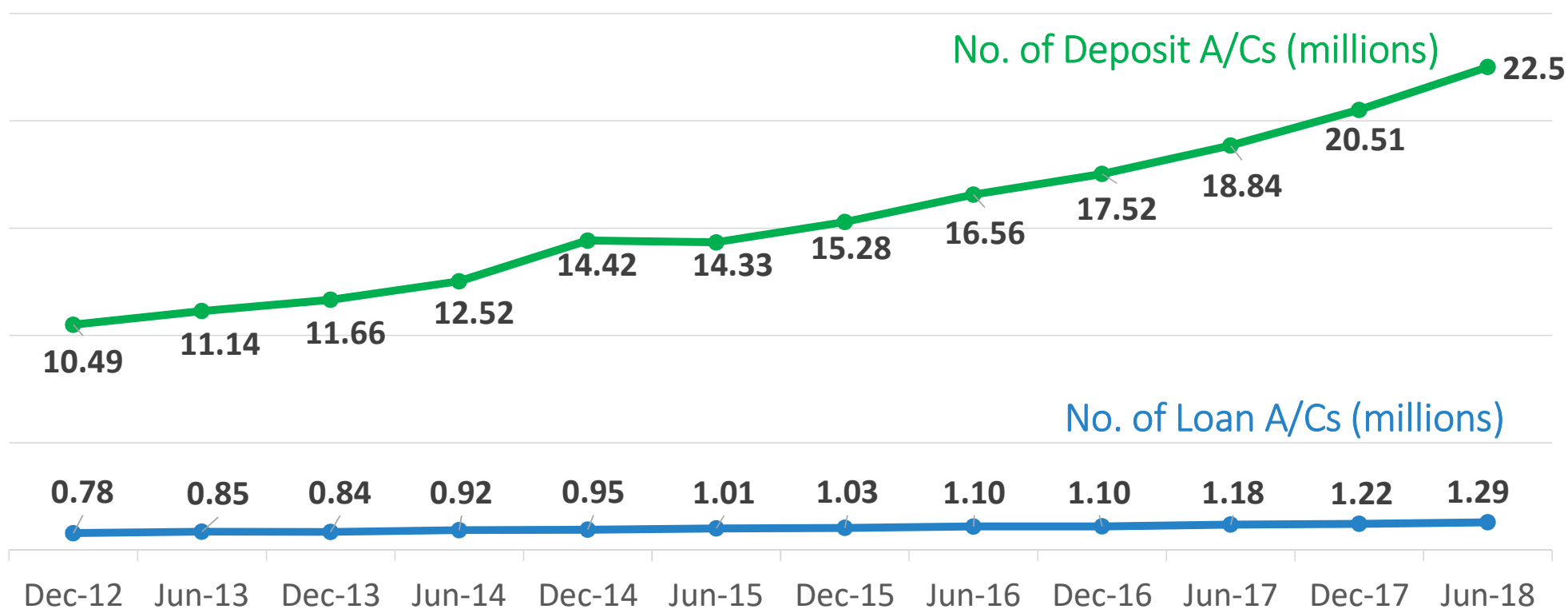
- Financial assistance from GoN:
 - 1st tranche: 50,000 NPRs on signing participation agreement
 - 2nd tranche: 150,000 NPRs on completion of foundation
 - 3rd tranche: 100,000 NPRs on completion of walls
 - Completion certificate: on completion of roof and other finishing elements

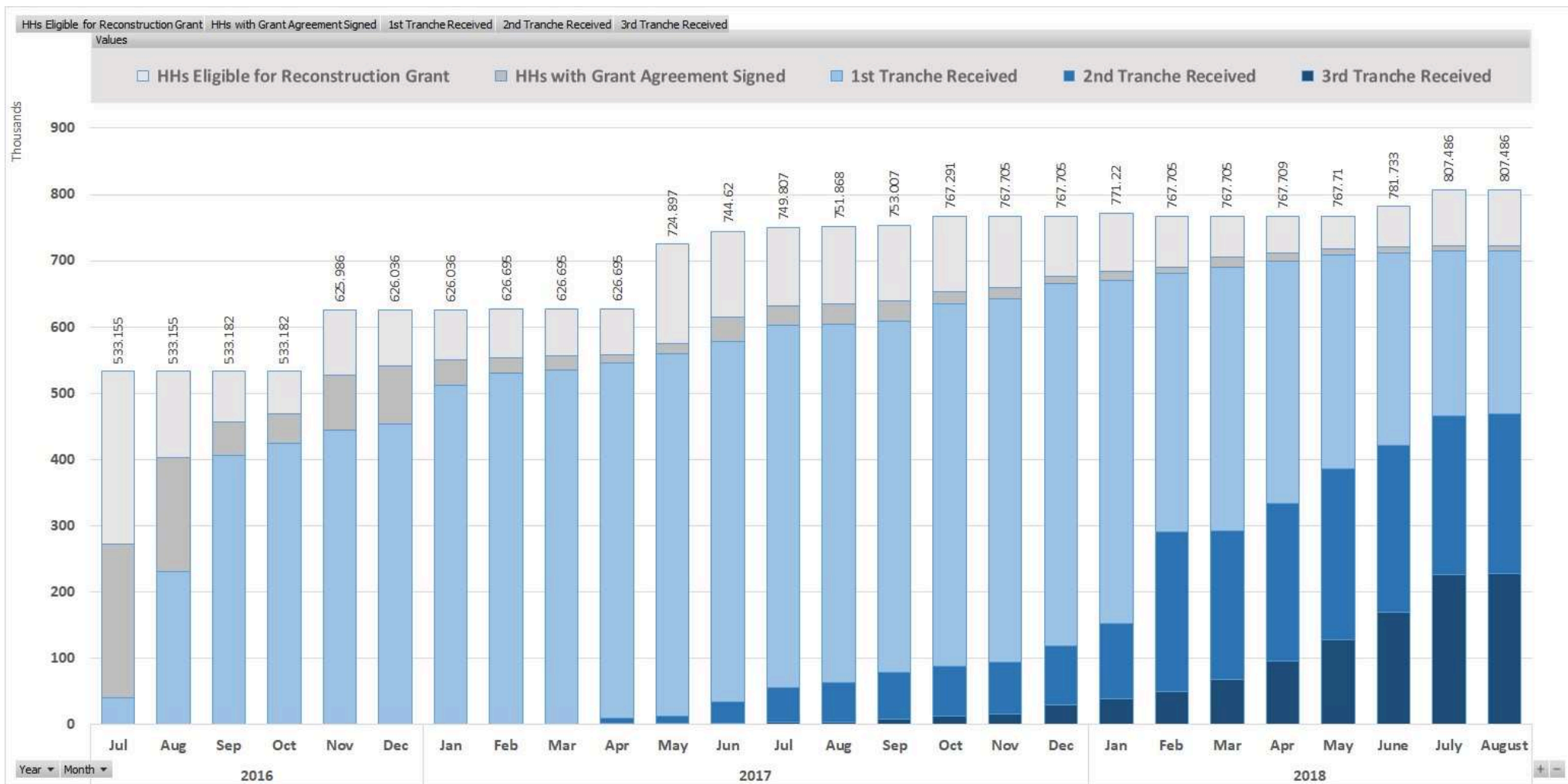
- Financial assistance must go through bank accounts – opportunity to bring huge group of people into banking sector

No. Bank Branches, Class A, B, & C



Deposit and Loan A/Cs, Class A, B, & C





Strategic Recovery Objective 1



Restore and improve disaster resilient housing, government buildings and cultural heritage, in rural areas and cities

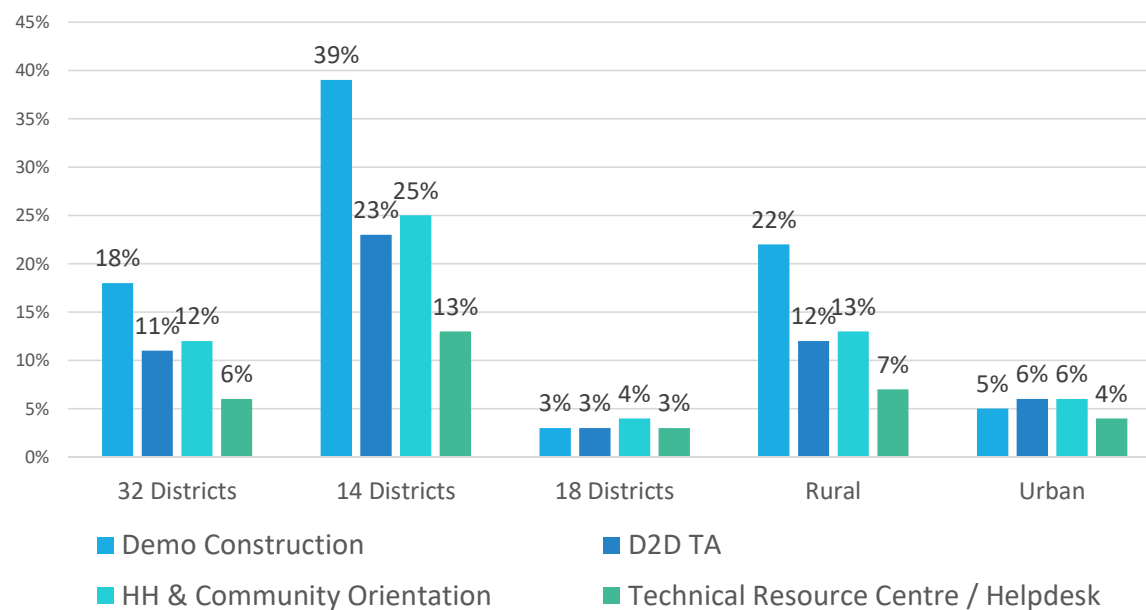
Owners will be provided financial assistance in tranches, supported by timely provision of technical assistance, training and facilitation, so that people can rebuild as soon as possible. It is critical that there is a uniform approach to support and implementation for universal coverage in the 32 earthquake affected districts, including the 14 most-affected districts, irrespective of funding sources.

Meeting SRO1?



- More than 150 million USD already spent on TA but coverage is low
- Why?
- What are the options to scale up coverage?

Coverage of key TA activities by % of wards (based on HRRP 4W data)



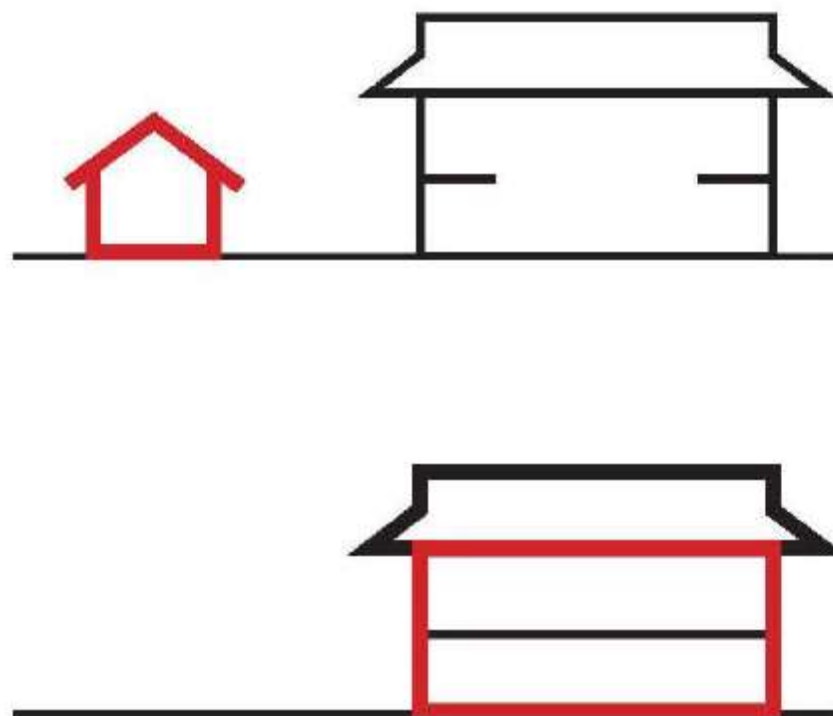
Achieving Req'd. / Expected Outcomes?



“The quality of the housing reconstruction will determine how the overall reconstruction is viewed, if the housing reconstruction is well managed and effective then the reconstruction programme will be considered a success.”

General Nadeem

Retired Director of the Pakistan ERRA
Speaking with Shelter Cluster partners on 8
October 2015





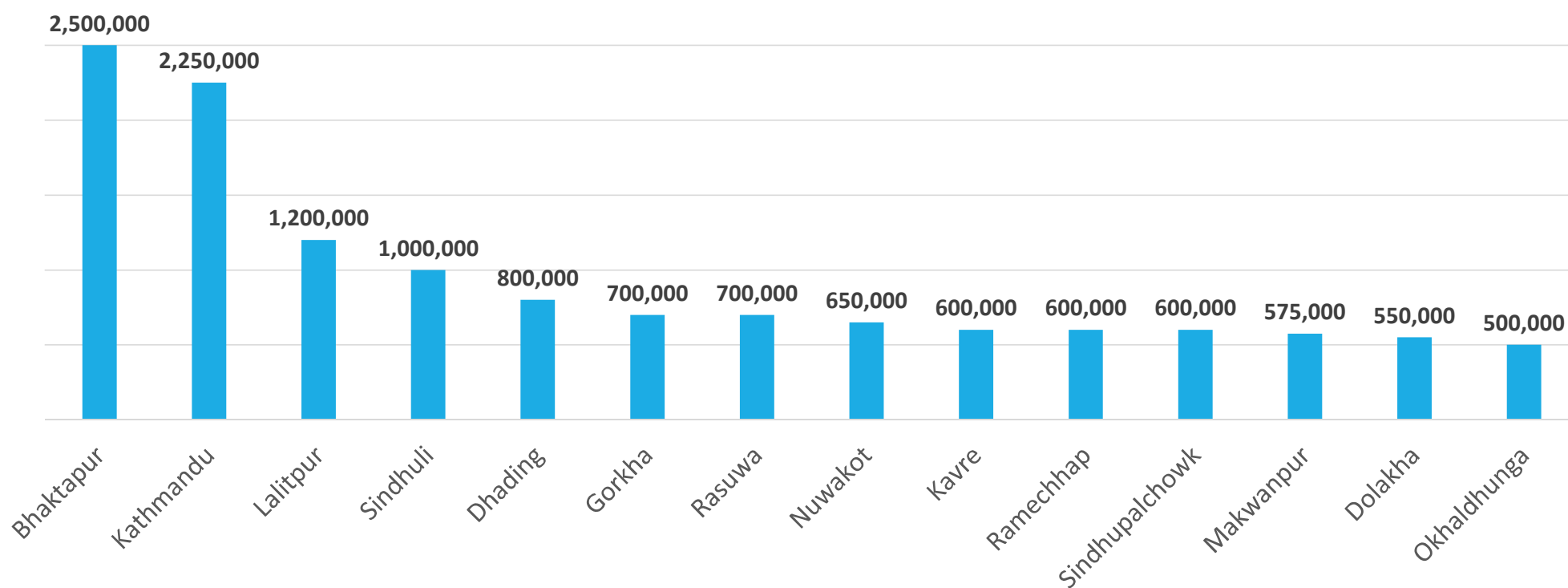
Cost of Reconstruction

HRRP Survey, October 2017

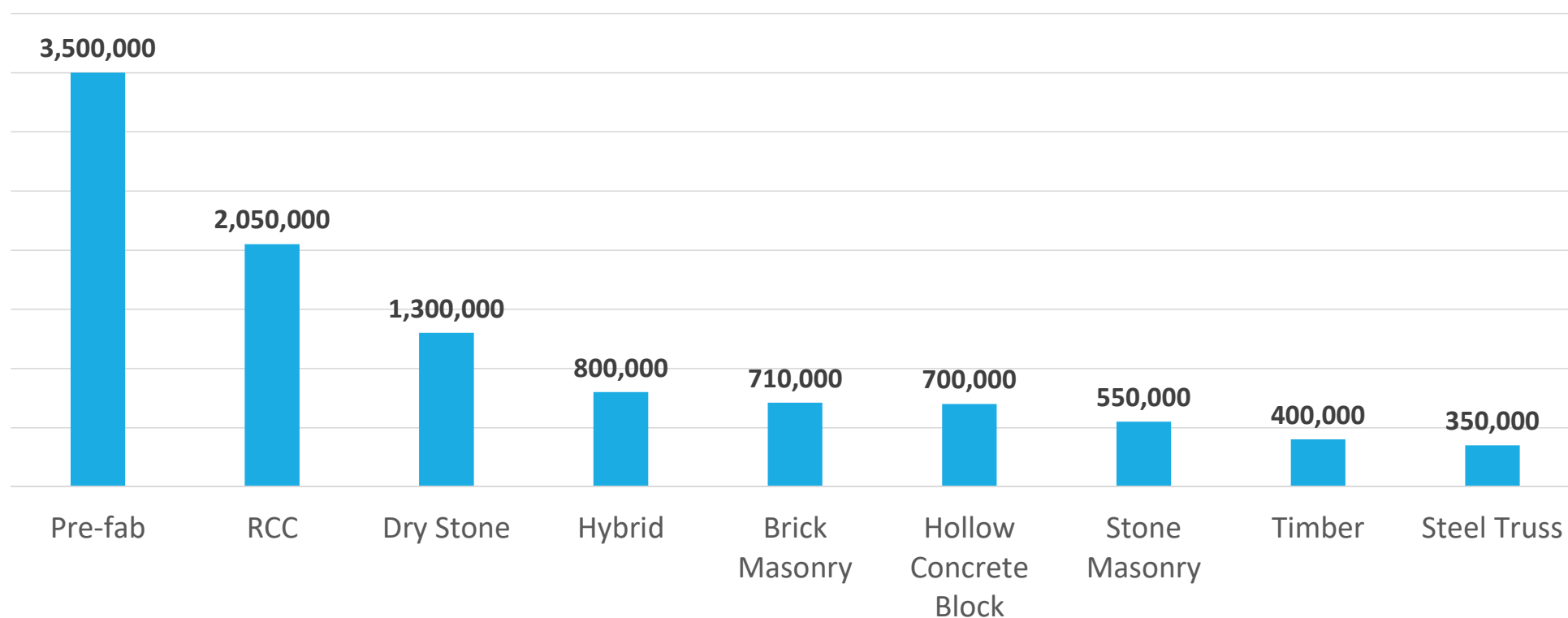


- Collected responses from 570 households on three questions:
 1. How much did your house cost / do you estimate it will cost?
 - Median cost of construction = 675,000 NPRs
 - Costs range from 50,000 NPRs, for repair in Makwanpur, to 6,500,000 NPRs, for construction of RC houses in Nuwakot and Kathmandu
 2. What building materials did you use / are you planning to use and have you salvaged materials?
 - 57% of respondents have, or will, build using stone masonry and the median cost of stone masonry houses is 550,000 NPRs (approx. \$5,500)
 3. Do you plan to / have you already taken a loan and if so for how much, from what type of financial institution, and at what interest rate?

Median Construction Costs



Median Costs by Building Typology (NPRs)



Urban Settlements



- Urban houses are normally larger and more expensive, and the land on which they are built typically has a high value
- Bhaktapur, Kathmandu, and Lalitpur – where there is the highest concentration of urban areas – have the highest median construction costs at 2,500,000 NPRs, 2,250,000 NPRs, and 1,200,000 NPRs respectively
- The HRRP cost of construction report found that the most expensive houses were RC frame structures in Kathmandu and Nuwakot that cost 6,500,000 NPRs.
- Costs for reconstruction in traditional style are even higher

Remote Settlements



- Transport costs can be challenging for households to manage
- In most remote areas this is particular challenge





Finance and Debt

Housing Finance Options



- From the [Nepal Urban Housing Sector Profile](#), produced by UN Habitat in 2010:
 - Formal sources: Commercial banks, Nepal Housing Development Finance Company LTD., Employee's Provident Fund, Saving and Loans (Cooperative) programme, MFIs, Experimental Reimbursable Seeding Operations (ERSO)
 - Informal sources: informal lenders, traditional money lenders, relatives and friends

Housing Finance Options

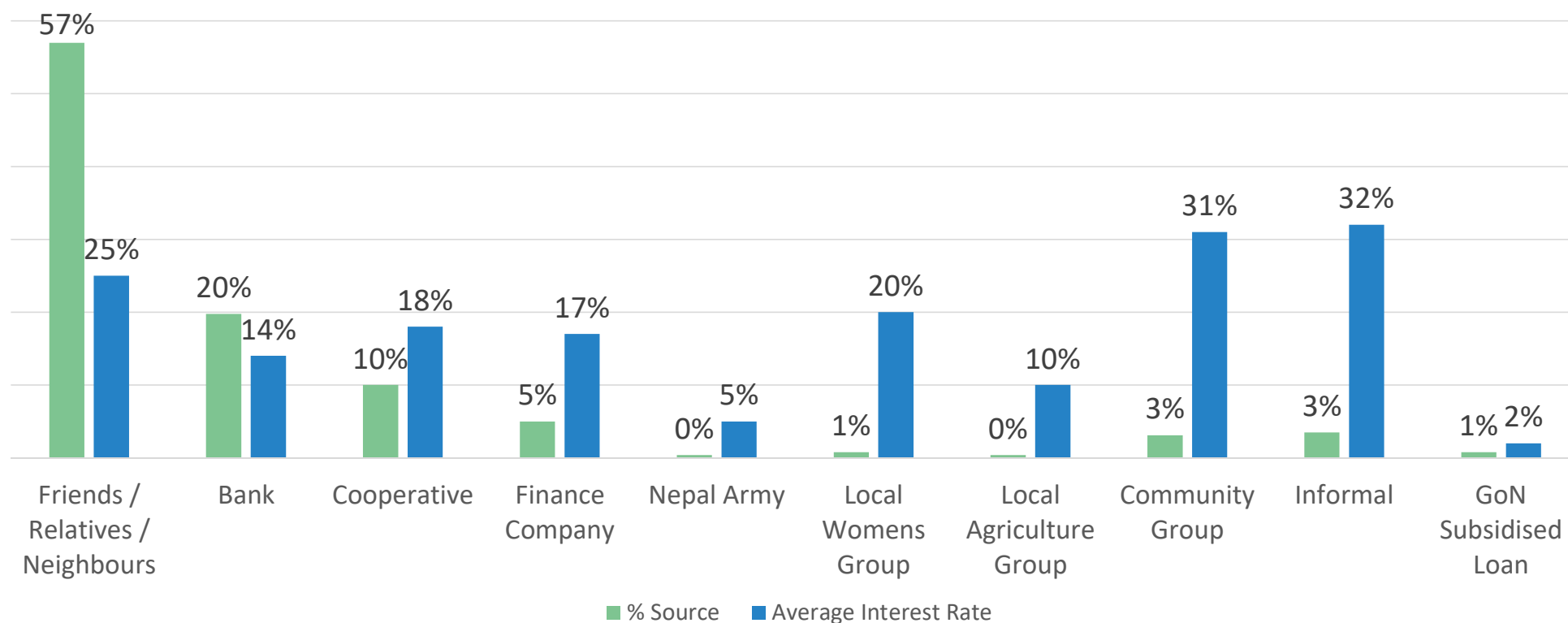
- The [Nepal Urban Housing Sector Profile](#) highlights that
 - “the existing housing finance system has not been able to address and solve the housing finance problem of poor and low income families with high interest rates and unfavourable lending conditions for lower income groups, for whom at times collateral in the form of land and house makes access to finance unattainable”.
- Understanding and learning from experience in housing finance pre-earthquake is critical if appropriate finance options are to be made available

HRRP Survey, October 2017



- Do you plan to / have you already taken a loan and if so for how much, from what type of financial institution, and at what interest rate?
 - **56%** of respondents had taken, or were planning to take, a loan
 - Average annual interest rate = **23%**
 - On average, loan amount represents **50%** of the total construction costs
 - **2** respondents (both in Kathmandu) reported that they had received the GoN subsidised loan at 2% interest.

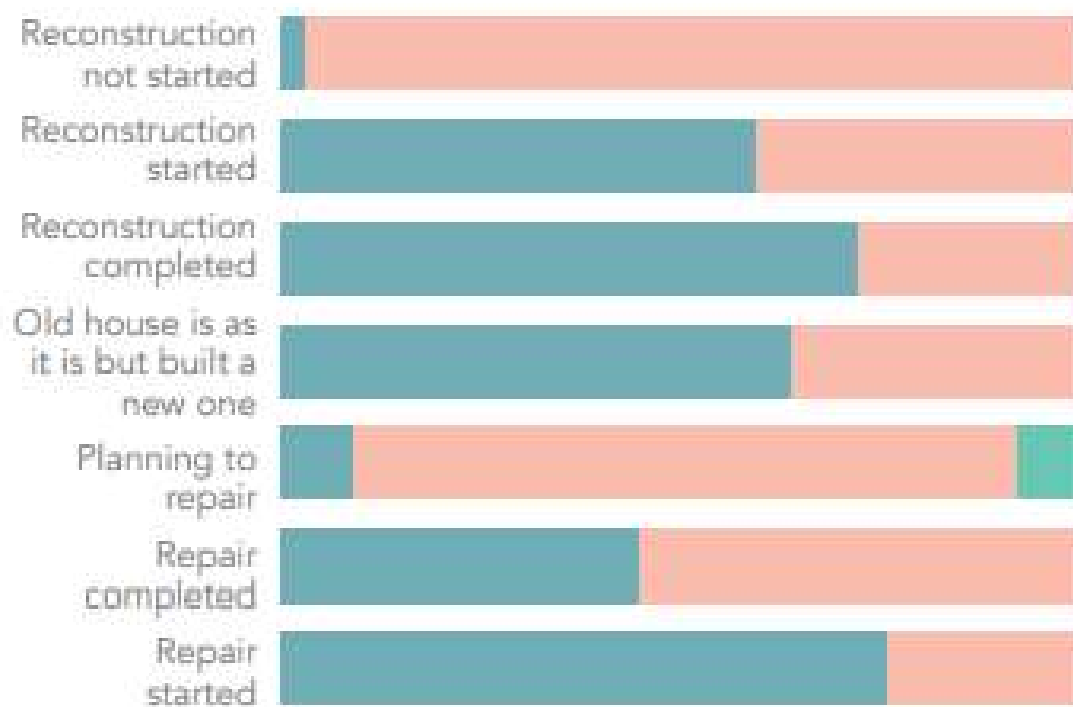
Sources of Loans and Average Interest Rates



Loans Taken by Housing Status - CFP



Differences by housing status



Potential Debt Crisis?



- 807,486 HHs eligible for the GoN housing reconstruction grant.
- If 50% of these households take a loan of 3,250 USD that will be a total of more than 1.3 billion USD in debt. At an average interest rate of 23% per annum, the annual interest payment would be more than 300 million USD.
- At a HH level, if a family is paying interest of 23% per annum, they will pay almost 750 USD in interest annually on a 3,250 USD loan. If the same loan had a 2% interest rate per annum, they will pay 65 USD in interest annually.
- Over the course of a 5 year loan period (likely a conservative estimate) the difference in the amount paid in interest is 3,425 USD (3,750 USD for 23% loan and 325 USD for 2% loan).



Possible Solutions

Supply Chain



- National level efforts, e.g. cut all tax on cement and steel for 1 year
- Work with construction material vendors and producers
- Support collective purchasing efforts

Finance and Debt

- Access to finance does not seem to be an issue – issue is the extraordinarily high interest rates
- CFP May 2018 report – 37% of respondents concerned about livelihood recovery reported that burden of loans was main concern
- Given the scale of the debt, livelihoods programmes intended to improve household income, and in turn allow households to pay off debt, face a possibly insurmountable challenge.
- Are there options for clearing debt? Or making the expected subsidised loans a reality?

Municipal Revolving Fund - Gorkha



- 1 Rural Municipality has implemented, 3 planning
 - **Aarughat:** 10 lakhs, fund distribution started in Feb 2018, 30 HHs have taken, 20 have already paid back
 - **Sahid Lakhan:** 9 lakhs in fund, 1 lakhs per ward, for this year, proposing to double funds for next year, fund distribution has not started
 - **Dharche:** 10 lakhs proposed but RM Council only passed 1 lakhs, fund distribution has not started
 - **Gandaki:** planning, but no decision on budget
- Aarughat Municipality prepared concept and launched, other municipalities replicating

Scale Up Coverage and Quality of TA



- Households need access to information and guidance to accompany financial grant and other support
- Urgently need to scale up coverage and quality
- Estimate that 75 million USD is required to cover gaps across all 32 earthquake affected districts – 7% of the amount of money yet to be disbursed through the GoN's housing reconstruction grant.



For more information....

- Website: <http://hrrpnepal.org/>
- Facebook: <https://www.facebook.com/HRRPNepal/>
- Twitter: https://twitter.com/HRRP_Nepal
- Sign up to the HRRP mailing list: <http://hrrpnepal.org/subscribe>



Thank you!